

Committee on Market Access

INTRODUCTION OF HARMONIZED SYSTEM CHANGES INTO WTO
SCHEDULES OF TARIFF CONCESSIONS ON 1 JANUARY 1996

Draft Decision on Extension of Time-Limit

Members,

Considering that the Members of the WTO, by their Decisions of 13 December 1995, 18 July 1996, 24 April 1997, and 22 October 1997¹ acting pursuant to the provisions of paragraph 3 of Article IX of the WTO Agreement, suspended the application of the provisions of Article II of GATT 1994 until 30 April 1998, for the purpose of enabling the Members listed in the Annex to implement the recommended amendments to the Harmonized System nomenclature;

Noting that the Members listed in the Annex have either requested to be included under the waiver, or have requested an extension of the waiver for reasons explained in their requests;

Considering that the Members concerned would need more time to proceed with consultations or possible Article XXVIII negotiations, in particular also in light of general reservations made by the other Members,

Acting pursuant to the provisions of paragraph 3 of Article IX of the WTO Agreement,

Decide, in view of the exceptional circumstances, to suspend the application of the provisions of Article II of GATT 1994, until 31 October 1998, for the purpose of enabling the Members listed in the Annex to implement the recommended amendments to the Harmonized System nomenclature, subject to the following conditions:

- (i) the Member concerned shall have submitted the documentation required under paragraph 2 of the simplified procedures adopted by the GATT 1947 Committee on Tariff Concessions to implement changes in the Harmonized System²; or if special circumstances apply, the Member concerned shall have requested technical assistance from the Secretariat for the completion of such documentation.
- (ii) the Member concerned shall, where necessary, promptly enter into negotiations and consultations with interested Members pursuant to paragraphs 1-3 of Article XXVIII of GATT 1994;
- (iii) the negotiations and consultations mentioned above shall be completed not later than 31 October 1998;

¹WT/L/124 + Corr.1, WT/L/173, WT/L/216, and WT/L/243.

²BISD 39S/300.

- (iv) pending the entry into force of the results of the negotiations or consultations mentioned above, the other Members will be free to suspend concessions initially negotiated with the Member concerned to the extent that they consider that adequate compensation is not offered by the Member concerned.

ANNEX

1. Members which have requested an extension of the time-limit of the above waiver

Argentina
Australia
Brazil
Bulgaria
Canada
Costa Rica
Czech Republic
Egypt
El Salvador
European Communities
Honduras
Hungary
Iceland
Indonesia
Israel
Malaysia
Malta
Mexico
Norway
Pakistan
Philippines
Slovak Republic
Slovenia
South Africa
Tunisia
Turkey
United States
Uruguay
Venezuela

2. Additional Members which have requested to be covered by the waiver under the above Decision

Guatemala
Morocco
Panama
